

Not surprisingly, in light of their complexity, SPACs were only a tiny outpost on Wall Street and not an especially reputable outpost. That SPACs existed at all is owed to the interests of a party we have not yet considered—the target company that the SPAC acquires. The targets were generally small private firms, often early start-ups. Many were too speculative to raise money in a conventional IPO. For this small niche of companies, SPACs offered a decided though unintended advantage.

In an ordinary IPO, the underwriters cannot offer forecasts of future earnings, revenue, and so forth without incurring great risk of litigation. This is for good reason. Insiders selling stock are anything but neutral parties. Their forecasts are naturally prone to optimism, and the company being private, the insiders are the *only* source of information. Since the public is effectively at their mercy, regulators do not grant IPOs the customary “safe harbor” to issue forward-looking statements.

In the case of a SPAC, however, due to an inadvertent loophole in securities regulation,⁹ no such restraint exists. Recall that a SPAC’s progress to maturity consists of two transactions. First, a corporate shell raises capital by selling shares. Technically, this is its IPO, but scrutiny is hardly an issue, because the SPAC has no assets to scrutinize. In the second stage, the SPAC purchases a private business. Although this purchase *has the effect of taking the target public*, the merger, technically, is not an IPO, because the SPAC has already gone public. Thus the process offers an end run around the normal IPO requirements; worrisomely, it deprives the public of regulatory protection.

For many years, SPACs were inconsequential. In 2016, only 13 SPACs went public, compared to 75 ordinary IPOs.¹⁰ Then volume

⁹ Klausner, et al., op. cit., pp. 52–54, 67, 71.

¹⁰ Kristi Marvin, SPACInsider.